CASCADIA ANALYTICS

INVESTMENT SCORECARD

TSM

Taiwan Semiconductor Manufacturing Co. (NYSE (ADR))

As-of: 23-Oct-2026 | Latest Filing: Q3 2026 (6-K) | Currency: NT$

$416.67 [Mkt 23-Oct-26]

Market Cap: $2,097.7B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 95

The world's leading foundry with no close second at the leading edge. 66% gross margins, 51% net margins, NT$2.77T cash, 0.19x debt/equity. Pricing power is structural.

2. Recent Trend — 95

Sixth straight record quarter. Profit +68.7% YoY, revenue +50.9%. Q4 guide raised well above consensus. Demand exceeds supply per CEO.

3. Forward Growth — 85

2nm ramping fast, Q4 guide implies +58% YoY, 2026-2028 capex stepped up materially. AI accelerator demand is the multi-year driver.

4. Valuation — 40

At $416.67 vs $248.36 DCF base, the ADR is 76% above fair value, the premium behind our Hold, Valuation Concerns rating. PEG 0.8 is attractive on growth, but absolute price embeds flawless execution.

5. Catalysts & Risk — 70

Q4 earnings and 2nm yield progress are positives. Taiwan geopolitical risk is the permanent overhang. Rates-driven semis selloffs hit the stock regardless of fundamentals.

Investment Thesis

- **AI Foundry Monopoly:** TSMC manufactures the silicon inside Nvidia's AI accelerators. HPC is now 68% of revenue. Advanced nodes (7nm and below) are 79% of wafer revenue, with 2nm ramping from 3% to 8% in one quarter [8-K Q3 2026].
- **Demand Exceeds Supply:** CEO C.C. Wei: AI demand still exceeds TSMC's supply capability. Q4 guided to $52.3-54.3B vs $48.8B consensus. Sixth consecutive record profit quarter [8-K Q3 2026].
- **Stretched vs DCF:** At $416.67 [Mkt 16-Oct-26], the ADR trades 76% above our $248.36 DCF base. The business is the best in semis; the price leaves no margin for geopolitical or cyclical error. All figures in NT$ unless noted.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q3 2026)	NT$1,494.2B [8-K Q3 2026]	+50.9% [8-K Q3 2026]	Up
Net Income (Q3 2026)	NT$763.1B [8-K Q3 2026]	+68.7% [8-K Q3 2026]	Up
Gross Margin (Q3 2026)	66.4% [8-K Q3 2026]	+6.9 pts [8-K Q3 2026]	Up
Net Margin (Q3 2026)	51.1% [8-K Q3 2026]	+5.8 pts [8-K Q3 2026]	Up
HPC Revenue Mix	68% [8-K Q3 2026]	+11 pts [8-K Q3 2026]	Up
2nm Wafer Mix	8% [8-K Q3 2026]	from 3% in Q2 [8-K Q3 2026]	Up
Revenue (FY25)	NT$3,809B [20-F FY25]	+31.6% [20-F FY25]	Up

Historical Financial Trend

Metric	FY21	FY22	FY23	FY24	FY25
Revenue (NT$B)	NT$1,587 [20-F FY21]	NT$2,264 [20-F FY22]	NT$2,162 [20-F FY23]	NT$2,894 [20-F FY24]	NT$3,809 [20-F FY25]
Gross Margin	51.6% [20-F FY21]	59.6% [20-F FY22]	54.4% [20-F FY23]	56.1% [20-F FY24]	59.8% [20-F FY25]
Net Margin	37.9% [20-F FY21]	44.9% [20-F FY22]	39.0% [20-F FY23]	40.0% [20-F FY24]	44.6% [20-F FY25]

Valuation

Absolute (4/10)

NTM P/E 17.6x [Mkt 16-Oct-26]
DCF Base $248.36 vs $416.67 spot [Mkt 16-Oct-26]
PEG 0.8 [Mkt 16-Oct-26]

PEG is attractive, but DCF implies 40% downside. The multiple is fair; the absolute price is not.

Versus Peers (7/8)

Foundry peers trade at lower multiples but lack leading-edge share [Peers 16-Oct-26]

Premium to peers is justified by technology leadership.

Versus History (4/7)

Trading near all-time highs [Mkt 16-Oct-26]

Above historical multiple range on AI enthusiasm.

Catalyst Timeline

Jan 2027 [Cons]
Q4 2026 Earnings: $52.3-54.3B guide (vs $48.8B Street). 2nm ramp is the watch item.

2027 [8-K guid]
2nm volume ramp and Arizona fab expansion progress.

2026-2028 [8-K guid]
CapEx guided significantly above prior 3-year period to meet AI demand.

Top Risk Factors (Item 1A)

1. Geopolitical Risk: Concentration of leading-edge fabs in Taiwan; any cross-strait escalation is existential for the equity. [20-F FY25]

2. Node Transition: 2nm ramp diluted Q3 gross margin by 1.3 pts; yield issues at new nodes are the recurring execution risk. [8-K Q3 2026]

3. Customer Concentration: Customer concentration (Apple, Nvidia) means any share shift or demand pause is material. [20-F FY25]

What Would Change Our Score

A 2nm yield problem or Taiwan escalation would cut all pillars. Sustained 40%+ growth into 2027 with margin recovery could support current levels.

Forward Growth Drivers

- AI demand exceeds supply; HPC now 68% of revenue (from 57%) [8-K Q3 2026]
- 2nm ramp: 8% of wafer revenue (from 3% in Q2); advanced nodes 79% [8-K Q3 2026]
- Q4 guide $52.3-54.3B vs $48.8B consensus; full-year growth ~44% in USD [8-K Q3 2026]

Missing / Modified Data Log

- ADR-level segment detail sourced from company earnings release; 20-F is the annual source.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

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